

SBI Personal Loan – Terms & Conditions

Consolidated reference summary

Important: This is a plain-language reference document prepared from SBI's publicly available Personal Loan information and MITC documents. It is **not an SBI-issued contract or official rulebook**. The sanction letter, loan agreement, Key Fact Statement/MITC applicable to the specific loan, and SBI's latest published terms will prevail if there is any difference.

1. Purpose of the Personal Loan

- Personal loans may be used for general personal purposes such as marriage, medical treatment, education, foreign travel, or other permitted personal requirements.
- The loan is not intended for speculative activities.

2. Eligibility – Current SBI Salary Account Personal Loan

- Government sector employees, Defence sector employees and employees of eligible corporate-sector organizations may be considered.
- The borrower should generally have a Salary Package Account with SBI.
- Minimum service: 6 months for Government/Defence sector employees and 12 months for Corporate sector employees.
- Age: generally 21–60 years; Government/Defence employees above 60 may be considered case-by-case.
- Minimum net monthly salary shown by SBI: ■20,000 for Government/Defence and ■25,000 for Corporate sector employees.
- The borrower should be an Indian national and have a credit profile acceptable under SBI's internal policy.

3. Loan Amount and Repayment Period

- Current SBI Personal Loan page states a minimum loan amount of ■1 lakh and maximum of ■35 lakh, subject to applicable EMI/NMI and income-based limits.
- Repayment period: minimum 6 months and maximum 84 months, subject to the applicable product and retirement/contract/age conditions.
- The loan is normally repaid through Equated Monthly Instalments (EMIs).
- For an overdraft facility, the drawing power is reduced monthly by the principal component so that the facility is liquidated by the end of the tenure.

4. Interest Rate

- SBI publishes the applicable interest rate separately and may revise rates according to the terms of the relevant product.
- For floating-rate loans, interest is generally calculated on the outstanding/reducing balance according to the applicable loan terms.
- The exact rate applicable to an individual borrower depends on the product, borrower profile and SBI's prevailing terms at sanction.

5. Processing Fee

- For the current SBI salary-account Personal Loan page, processing fee is stated as up to 1.50% of the loan amount, subject to a minimum of ■1,000 and maximum of ■15,000, plus GST.
- Concessions/waivers may apply to specified categories, including Defence employees, certain Salary Package variants, Government employees and customers meeting specified CIBIL-score conditions.
- Promotional campaigns or employer-specific arrangements may provide different concessions.

6. Documents Generally Required

- Loan application with borrower photograph.
- PAN.
- At least one officially valid document (OVD).
- Six months' salary slips.
- Latest ITR/Form 16 where applicable; SBI states certain waivers may apply.
- Six months' salary-account statement showing salary credits.

7. Repayment and EMI

- EMI repayment begins on the date specified in the sanction/loan documents.
- The borrower's liability continues until the outstanding balance becomes nil.
- Repayment may be through Standing Instructions or another repayment mechanism specified by SBI.
- For an overdraft loan, excess funds may be deposited subject to the facility's rules; the linked repayment mechanism remains governed by the loan agreement.

8. Default / Overdue Amounts

- If an amount due is not paid by the due date, SBI may issue reminders through permitted communication channels and may use authorized collection agencies.
- Collection agencies are expected to follow applicable banking/industry codes and laws.
- The consequences of default can include penal charges, collection activity and other remedies provided in the loan agreement.

9. Penal Charges – Current SBI Personal Loan Page

Irregularity	Published penal charge
Up to 60 days	2.40% p.a. on the irregular portion for the period of irregularity
Continuous irregularity beyond 60 days	5% p.a. on the irregular portion for the period of irregularity

These figures are from SBI's currently published Personal Loan page and can change. The applicable sanction/loan documents should be checked for the particular account.

10. EMI Failure / Dishonour

SBI's published terms provide for charges where an EMI or repayment instruction is dishonoured. The exact applicable amount can depend on the current schedule of charges and the loan product.

11. Prepayment / Pre-closure

- The current SBI Personal Loan page states that part/full prepayment and closure before the end of the term attract a prepayment charge of 2% of the prepaid amount.
- SBI also lists specified categories for which this charge may be waived, subject to the stated conditions—for example certain Defence, Government/Corporate Salary Package and specified Platinum/Rhodium customers.
- Always verify the prepayment clause in the sanction letter and current schedule of charges before making an early repayment.

12. Security and Guarantor

For the current SBI salary-account Personal Loan product, SBI describes the facility as requiring no security and no guarantor, subject to the product's eligibility and sanction conditions.

13. Insurance

Insurance, where applicable, is governed by the particular scheme/product and the loan documentation.

14. Credit Bureau / Information Disclosure

SBI's MITC documents state that the bank may disclose loan-related information to credit bureaus approved by the Government of India/RBI and may obtain credit information reports, subject to applicable rules.

15. Customer Service and Grievance

- Customers can use SBI's customer-care channels for service-related issues.
- SBI also provides grievance-redressal mechanisms through its designated offices and escalation channels.

16. Important distinction: Current terms vs older MITC

Some older SBI MITC PDFs contain figures and rules that differ from the current Personal Loan webpage—for example older processing-fee percentages, penal-interest wording and pre-closure provisions. Those historical documents should not be treated as the current terms of a newly sanctioned loan without checking their applicability.

17. What to check before signing an SBI loan

- Sanctioned amount
- Interest rate and whether it is fixed/floating
- Benchmark/spread or rate-reset mechanism, if applicable
- Tenure and EMI
- Processing fee + GST
- Penal charges
- Prepayment/foreclosure charges
- Insurance and optional products
- Late-payment / EMI dishonour charges
- Any legal/documentation/other actual-cost charges
- Conditions for salary-account debit / Standing Instructions
- Events of default and consequences
- Credit-bureau reporting

Sources

1. State Bank of India – SBI Personal Loan product page (current published terms; page last updated 28-Aug-2025 in the retrieved version).
2. State Bank of India – Unsecured Personal Loans, Most Important Terms & Conditions (MITC).
3. State Bank of India – Personal Loans MITC / Personal Finance MITC documents retrieved from SBI's official website.

Prepared as a reference summary on 24 September 2026. For a live loan decision, verify the current SBI terms and the specific sanction/loan documents issued for the borrower.